

Rubashkin sentenced to 27 years

By
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Sholom Rubashkin has moved on, his attorney said, and is focused on his appeal after being sentenced Tuesday to 27 years in prison.

"He's calm and at peace," Rubashkin's attorney Guy Cook said after the sentencing. "He knows this is one stop on a long road. He's a very optimistic man."

Leah Rubashkin said it was the support of friends and family that "has really been the oxygen that has kept us going."

The former Agriprocessors vice president remained calm during his sentencing Tuesday in U.S. District Court but he did express his disdain by telling friends in the gallery that the hearing would "show the wickedness of these people."

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The prosecution in its press conference barely mentioned the possibility of an appeal. They wanted to clear up "misinformation" given by the defense for two years and lay out the facts of the case.

Assistant U.S. Attorney Bob Teig said this case was pursued because it had so many aggravating factors – a sophisticated fraud scheme, hundreds of illegal workers, money laundering, "cooked company books," more than \$26 million loss to victims and substantial personal gain to Rubashkin.

Rubashkin, 50, of Postville, was convicted by a jury in November of 86 federal counts of bank, mail and wire fraud, money laundering and failure to pay livestock providers in a timely manner. The charges stem from the May 2008 immigration raid at the Agriprocessors meatpacking plant in Postville where more than 400 illegal workers were arrested.

Cook said the grounds for appeal will focus on the charges, how the case was tried and the excessive sentencing.

"That livestock charge has never been brought against anyone in the 88 years it's been in law," Cook said. "No one has ever been charged criminally with it. I think because it's defective."

He also said the fraud charges shouldn't have never been separated out as bank, wire and mail fraud because they all the same charge, accusing the same conduct.

Cook said the way the case was handled is another grounds for appeal. U.S. District Court Judge Linda Reade separated the cases, financial from immigration to not unduly influence the other but the prosecution used the immigration charges as evidence in proving their financial case, he said.

"We moved for a mistrial – it poisoned the case – but she denied it," Cook said.

Cook said the fact that Rubashkin received a life sentence, an "unfair and unjust" sentence, is also a grounds for appeal.

Teig said it's not a life sentence. Rubashkin earned it and that's not an easy feat with white collar cases. This case was pursued because it had so many aggravating factors, he said.

"The investigation didn't end after the raid," Teig said. "For 18 months, every time we turned over a rock we found a new crime."

Over two years money was being fraudulently obtained from a bank and Rubashkin funneled about \$1.5 million from Agriprocessors' accounts to his personal bank accounts, Teig said. He used the money to pay \$300,000 on credit cards, \$200,000 to remodel his home, \$76,000 for his personal state and federal income tax, \$41,000 for his home mortgage payments, \$25,000 for jewelry, \$20,000 for sterling silver, \$1,245 a month for personal life insurance and \$365 a month for a car payment.

"It was a sophisticated fraud scheme that started in the 1990s and went through 2008," Teig said. "He was told in advance by Social Security officials, Immigration Customs and Enforcement and his employees of the illegal aliens at the plant, and he needed to stop (hiring them). He didn't. He paid for illegal documents for workers just days before the immigration raid. He destroyed evidence."

Weysan Dun, of the FBI, said this case sends a message to employers about the agency's commitment to white collar crime.

"People say there are no victims in these kinds of crimes but they are far from victimless," Dun said. "There might not be any crime scene tape or no body on the floor but there were victims."

Dun said the sentence is appropriate for this crime. As a result of Rubashkin's actions, Agriprocessors went into bankruptcy.

"It brought an entire community to its knees," Dun said. "For those who have said its (the prosecution) about something else, it's about the crime, the fraud, the disruption of the lives of workers and economic loss to a community and company."

Teig said Rubashkin isn't the victim.

"There's been a lot of misinformation out there to feed the money machine," Teig said.

Initial Post

Former Agriprocessors vice president Sholom Rubashkin remained calm during his sentencing today in U.S. District Court but before the judge came in he said this hearing will "show the wickedness of these people."

Rubashkin, 50, of Postville, sentenced to 27 years in federal prison for bank fraud and other charges, waved at two rows of friends and family in the courtroom as he came in wearing an orange jail jumpsuit with his hands cuffed and arms chained.

"Why is she crying?" Rubashkin asked someone in the gallery. "You should be crying? They should be crying for what they are doing."

A few minutes later, a woman in the gallery said loud enough for the U.S. Marshals who were sitting near Rubashkin to hear – "She's competing with Dracula."

No other outbursts were heard during the sentencing.

Rubashkin's wife Leah and her children were quiet during the hearing.

Chief Judge Linda Reade didn't make any statements during the hearing beyond going over the details of the sentencing.

As in her order filed Monday, Reade ordered Rubashkin to pay more than \$26 million in restitution to two banks and one livestock supplier who are identified as victims in the bank fraud case. She said restitution is due immediately and if it's not paid Rubashkin would have to pay it in monthly increments while in prison.

No additional fine was imposed but a special assessment fee was ordered for \$8,600, which was paid in full by Rubashkin June 17.

Guy Cook, Rubashkin's attorney, requested that Reade grant bail for Rubashkin pending his appeal but the government objected to it and Reade denied the request.

However, Reade did say she would make a general request to the Bureau of Prisons to have Rubashkin transferred to a prison that would "best accommodate his religion."

Cook had asked that Reade request a prison in Otisville N.Y. or Fort Dix, New Jersey. Both prisons could accommodate his religious requirements.

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Statement from Stephanie M. Rose, United States Attorney:

Full Release from United States Attorney's Office

Northern District of Iowa



Defendant Sholom Rubashkin listens to Rodney Heaston, not pictured, with Mechanical Industrial Services, testify during trial at the Black Hawk County Courthouse in Waterloo, Iowa on Tuesday, June 1, 2010. (AP Photo/The Waterloo Courier, Matthew Putney)